

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-08

**TZ SSE Buyer, LLC, Complainants v. Overseas Container Line Limited
and OOCL (Europe) Limited, Respondents**

JOINT STATUS REPORT AND PROPOSED AMENDED DISCOVERY SCHEDULE

Pursuant to the Commission’s October 11, 2024 Order (the “Order”) and 46 C.F.R. § 502.141(h), Complainant TZ SSE Buyer, LLC (“Complainant”) and Respondents Overseas Container Line Limited and OOCL (Europe) Limited, Respondents. (“Respondents” and, collectively with Complainants, the “Parties”), by their respective undersigned counsel, have conferred and submit this joint status report and discovery schedule:

The October 11, 2024 Order granted Complainant’s motion for leave to file a second amended complaint, and required Respondents to respond to the second amended complaint within 14 days after service (which occurred on October 15, 2024). In addition, the Order required the Parties to submit a joint status report by October 25, 2024, with a proposed amended scheduling order. The Parties do not currently anticipate needing depositions or interrogatories in this case in excess of the amounts contemplated by 46 C.F.R. §§ 502.143 (i.e., no more than 20 depositions) and 502.145 (i.e., no more than 50 written interrogatories), respectively.

With only a single exception (affecting three dates, highlighted below), the Parties have agreed on a proposed amended discovery schedule. That one exception relates to the use of experts, as to which the Parties present their respective positions below.

THE PARTIES' PROPOSED SCHEDULE

The Parties propose the following amended discovery schedule, with the limited area as to which they disagree highlighted for ease of reference:

Event	Deadline
Supplemental Initial Disclosures Due	Nov. 8, 2024
Respondent to identify rebuttal expert witness, if any	Nov. 15, 2024
Respondent to serve responses to Complainant's initial written discovery requests. Depositions may begin to be noticed	Nov. 26, 2024
Complainant to serve initial expert report, if any	Dec. 9, 2024
Respondent to serve rebuttal expert reports, if any	Jan. 6, 2024
Last date to serve supplemental written discovery requests	Jan. 24, 2025
Complete Depositions	March 27, 2024
Discovery ends	March 28, 2025
Complainants' Opening Brief, Proposed Findings of Fact, and Appendix	April 25, 2025
Respondents' Response Brief, Proposed Findings of Fact, and Appendix	May 23, 2025
Complainants' Reply Brief and Responses to Proposed Findings of Fact	June 6, 2025

THE PARTIES POSITIONS ON EXPERTS

1. **Complainant.** Complainant briefly responds to Respondents' objections below. First, this is not a case of Complainant willingly missing deadlines and carelessly disregarding the ALJ's orders. The previous complainants complied with all deadlines set in the ALJ's June 28, 2024 Second Scheduling Order until the bankruptcy sale prevented further compliance. This included: (1) serving initial disclosures, (2) serving written discovery requests, (3) identifying their

expert witness, (4) responding to Respondents' discovery requests, and (5) producing documents in response to those requests.

Second, Respondents' claim that Complainant is using the bankruptcy as an excuse to avoid deadlines is baseless. A Chapter 11 bankruptcy sale is a complex process involving asset transfers, contract renegotiations, and reviews of the former owner's assets—tasks that cannot be completed overnight. The previous complainants made a good faith effort to meet all discovery deadlines until the bankruptcy sale made it impossible to do so. The substitution of the complainants after a bankruptcy sale is not immediate, as Respondent implies. Complainant's counsel was unable to serve the expert report until receiving direction from the new Complainant regarding whether it would proceed with this underlying case. The Complainant of course could not determine whether to proceed with this underlying case without first reviewing all relevant documents from this proceeding—an extensive process that Respondents misleadingly portray as quick and straightforward.

Respondents, without legitimate cause, aim to have the Presiding Officer deny Complainant their legal right to fully conduct discovery, including the submission of an expert report. This approach would unfairly benefit Respondents' defense by preventing the Presiding Officer from considering expert analysis on the maritime vessel carrier transportation industry during the relevant period. Respondents have not shown any legitimate prejudice that would arise from Complainant submitting their expert report. Their claims regarding time and cost are unfounded, as these factors are inherent to any FMC or similar case.

Third, even under Respondents proposed hypothetical schedule below, the prior scheduling order (dated June 28, 2024) set the close of discovery for November 4, meaning

Complainant would still be entitled to complete any outstanding discovery delayed by the bankruptcy sale.¹

Finally, Respondent fails to explain how Complainant has negatively impacted the proceeding, offering no legal authority to support their claim that the case will be prolonged. By Respondent's own logic, their objection to Complainant's proposed schedule above has also contributed to delaying this proceeding. Additionally, the Presiding Officer's October 11, 2024, Order placed no restrictions on the contents of the amended scheduling order, rendering Respondent's exclusions baseless.² The previous complainants adhered to all discovery deadlines in good faith until the bankruptcy sale prevented further compliance. Therefore, Respondent's delay tactics should be dismissed, and Complainant's proposed amended schedule should be adopted.

2. **Respondents.** Respondents disagree with Complainant's request that the schedule be retroactively revised to allow Complainant a second chance to prepare and serve an expert report, a right Complainant forfeited when it failed to serve such a report within the time frame mandated by the schedule then in effect. Complainant's proposal to give itself a mulligan would set the schedule backwards by months, rather than move forward from where matters stood when the mutually requested stay was granted. In our view, the fact that the original complainants went

¹ Respondents argue, without support or citation, that expert reports are outside the scope of discovery. This claim is unfounded, as expert reports are expressly governed by the general provisions of discovery. *See generally* Fed. R. Civ. P. 26; 46 C.F.R. § 502.141. The November 4, 2024, discovery cutoff in the Second Scheduling Order does not limit discovery to 'factual' matters; it encompasses all discovery, including expert disclosures.

² Complainants also note that Respondent's inflammatory and adversarial comments in this "joint status report" are unusual and inappropriate for a document typically meant to provide a status update. Complainants raised this concern with Respondent's counsel via email but, in the interest of efficiency, agreed to address Respondent's objections as part of this report.

bankrupt should not be an excuse for resuscitating a long moribund deadline, which expired without Complainant taking any measures to extend it.³ Complainant neither moved the Presiding Officer to extend the deadline nor sought a stay of the proceeding. Both of those measures were readily available to Complainant.⁴

As the former Presiding Officer explained:

“The parties are reminded that a “scheduling order ‘is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.’” *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)). Moreover, “[p]arties cannot control an agency’s docket or procedures through agreement among themselves.” *Simmons v. United States*, 698 F.2d 888, 893 (7th Cir. 1983). The authority of courts to control their dockets is well settled. *Link v. Wabash Railroad Co.*, 370 U.S. 626, 630-31 (1962); *United States v. Hughey*, 147 F.3d 423, 429 (5th Cir. 1998).

Accordingly. Respondents strenuously object to Complainant’s belated attempt to revive its opportunity to file an expert report, the deadline for which passed on August 26, 2024, well before the stay in this proceeding was requested/granted.⁵ When the substitute Complainant purchased the claims from the former complainants, it necessarily purchased them as they then stood, including what had already transpired in the proceeding and the orders and deadlines issued

³ Complainant’s counsel addresses Respondent’s objections as if we were blaming them. We are not. We understand that counsel, by themselves, may not have been able to take certain measures without approval from the purchaser of the claims. The fault lies not with counsel, but squarely with Complainant, which could have instructed counsel, hired new counsel, or taken any number of steps rather than letting deadlines pass without action.

⁴ According to Complainant’s September 27, 2024 Motion to Amend, the transfer of assets to the new Complainant occurred July 10, 2024, well before Complainant’s expert report was due.

⁵ Complainant’s suggestion that they may do whatever they like before discovery closes is entirely specious. Expert Reports are not part of discovery, but part of the sponsoring party’s direct or rebuttal testimony, and thus part of its case on the merits. In any event, making the end date cannot possibly justify ignoring specific deadlines that ran during the interim – otherwise there would be no reason for such interim deadlines. Complainant negotiated the specific deadlines, and they were imposed on the parties as an Order of the prior Presiding Officer.

therein by the former Presiding Officer. The current Presiding Officer should not reward Complainant, and substantially prolong this proceeding, by allowing Complainant a chance to do it all over again, and Complainant offers no reason why she should do so. I

It cannot be gainsaid that giving Complainant a free pass will cause substantial delay and impose significant costs on Respondent. Without the requested waiver of the long ago expired deadline, Complainant will not file an expert report, and neither will Respondent. This will allow the Presiding Officer to move up other dates set out in the parties' proposals. And the cost saving to Respondent will be large.⁶ Accordingly, Respondents propose to do away with expert reports.⁷

⁶ Expert reports are in any event of little or any value in cases alleging that a carrier improperly charged detention or demurrage. The Commission and the D.C. Circuit have determined that claims for improper detention/demurrage cases must be made on a shipment-by-shipment, day by day basis, including a fact intensive review of such factors as whether a particular container could not have been picked up or returned on each day for which a charge was incurred, whether the inability to pick up or return the container on such specific date was with or without the fault of the complainant (or its agent) and whether imposition of a charge for that day for that container serves or disservices the flow of cargo. These issues simply cannot be addressed by outside experts.

⁷ Should the Presiding Officer nevertheless, and unfairly to Respondent, give Complainant a redo with respect to experts, Respondent proposes that Complainant's expert report be due December 9, 2024 and Respondent's rebuttal expert report(s) be due January 6, 2025. We further note that there should be no reference to "initial" expert reports, as there is no contemplation of any additional, supplemental, or revised reports.

Dated: October 25, 2024

Respectfully and jointly submitted,

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